

Decoding Oracle Fusion Intercompany Financials

The architecture of automated internal ledgers



The Left Pocket to Right Pocket Principle

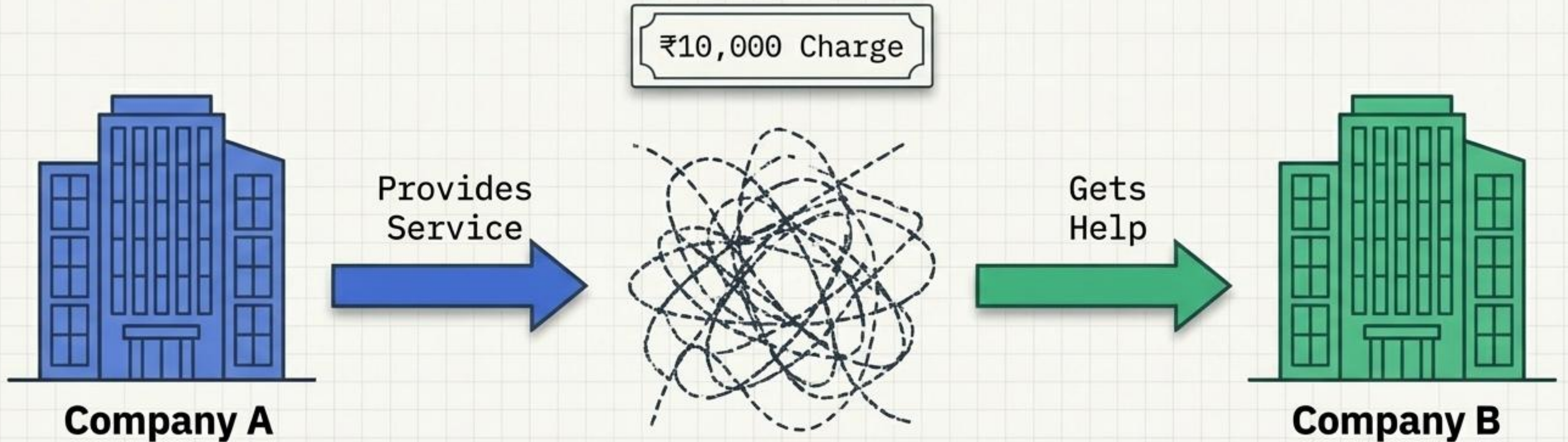
Think of intercompany transactions like transferring money from your left pocket to your right pocket.



Total Net Change: Zero

Key Takeaway: You are not losing money, but you must track it properly to know exactly where your resources sit.

Scaling the Analogy Across the Enterprise



The Problem: Internally, one company is providing a service and the other is paying for it. Without a centralized system, this creates manual chaos, requiring redundant data entry in both companies' books to track the internal movement of value.

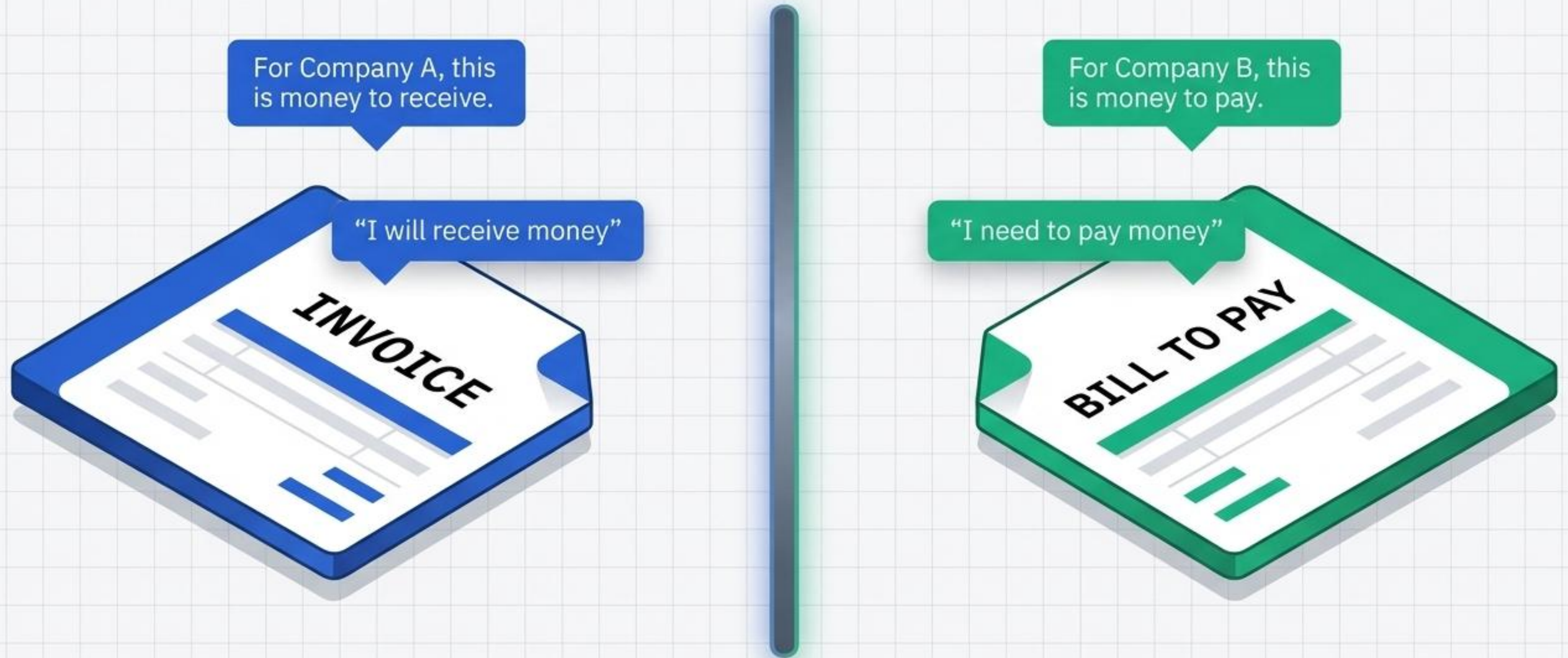
Oracle Fusion as the Smart Middleman

Instead of manually entering data in both companies, Oracle Fusion acts as an intelligent intermediary. It automatically handles both sides of the transaction simultaneously from a single point of entry.



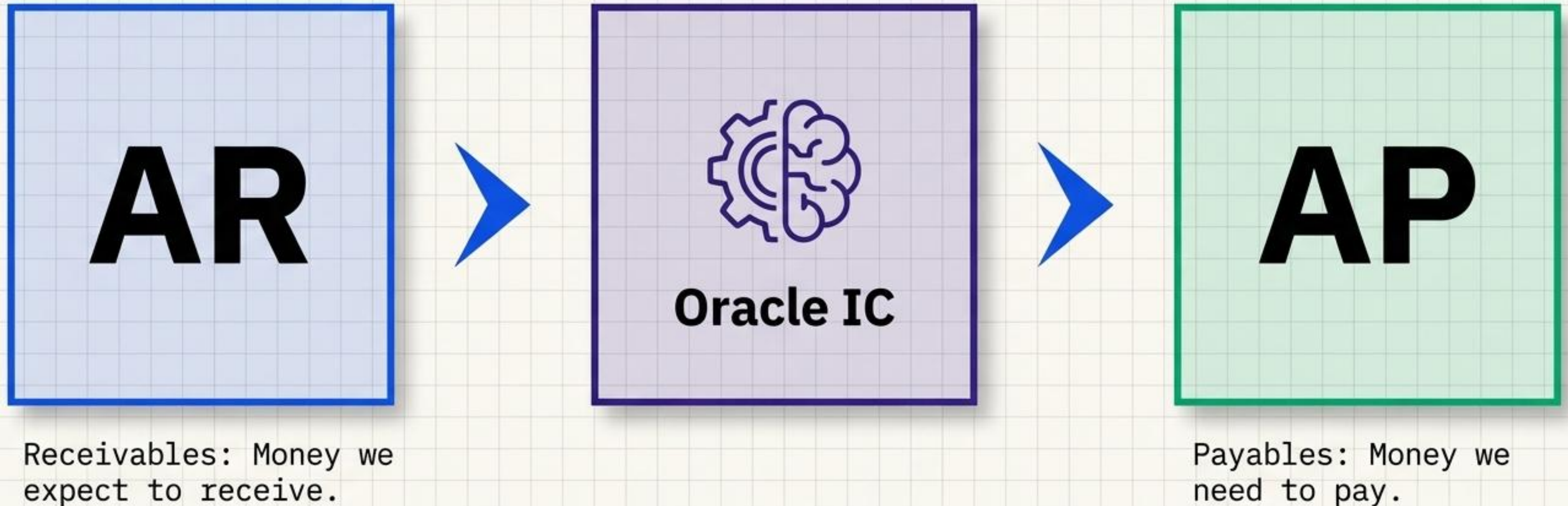
The Core Concept: The Mirror Effect

A single internal transaction generates two fundamentally different views depending on where you stand.



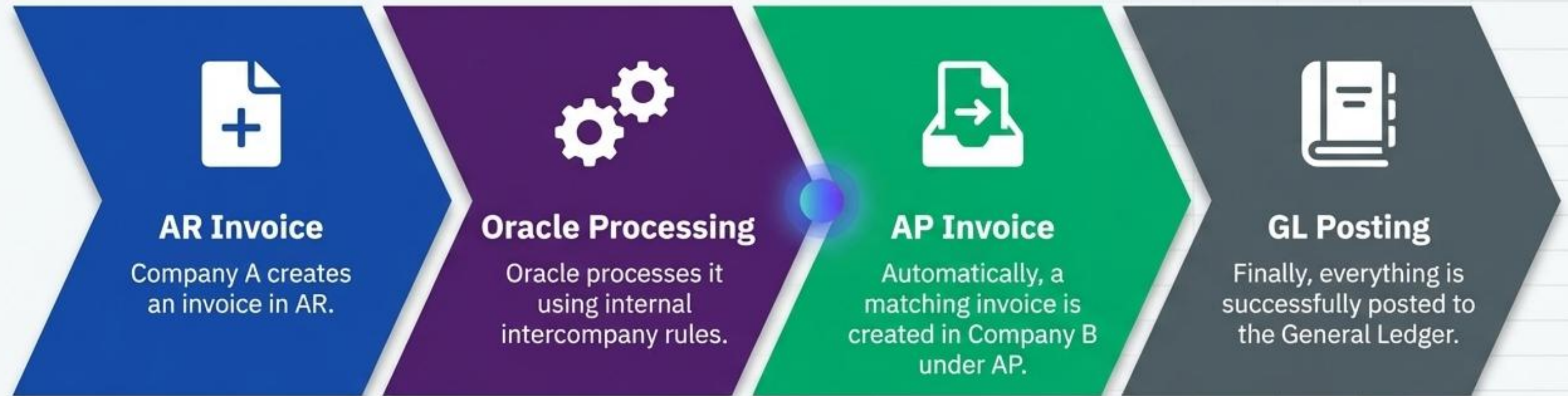
Translating Actions into Oracle Modules

Oracle automatically connects the AR module of the provider company to the AP module of the receiving company, ensuring perfectly balanced books without manual intervention.



The Step-by-Step Intercompany Flow

Company A creates an invoice, Oracle processes it like a machine, and Company B automatically receives a bill.

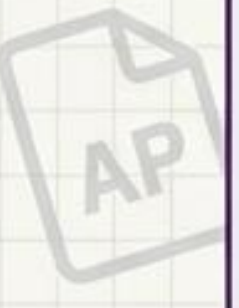


The Mirror Effect Diagnostic

Both sides of the transaction are recorded automatically, creating equal and opposite impacts on the general ledger.

	Company A (The Provider)	Company B (The Receiver)
Action	Provides Service	Gets Help
Cash Flow	Receives Money	Pays Money
System Module	AR (Receivables)	AP (Payables)
Final Ledger Impact	Receivable  (Goes Up)	Payable  (Goes Up)

The Bottom Line



“Intercompany means transactions between internal companies handled automatically by Oracle Fusion.”

Who creates the invoice?
Company A (AR)

Who receives the bill?
Company B (AP)

Who automates it?
Oracle Fusion